AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

2 July 2026 · the qualitative

Warby Parker

$29.37

NYSE : WRBY · Mature-Company DCF

$3.6B mkt cap · 123M sh · $286M cash, zero debt · Net cash +$286M (no debt); ~122.7M shares; SBC ~5% of revenue (~$12M/qtr), a live dilution drag; Revenue $872M FY25 (+13%); GAAP op margin -0.6% (still a small loss); FCF +$30M (~3%); adj EBITDA ~12.2%; ~$26, up ~13-16% YTD, 52-wk $14.96-$31.00; added to S&P SmallCap 600 (Jun 2026); ~3x sales

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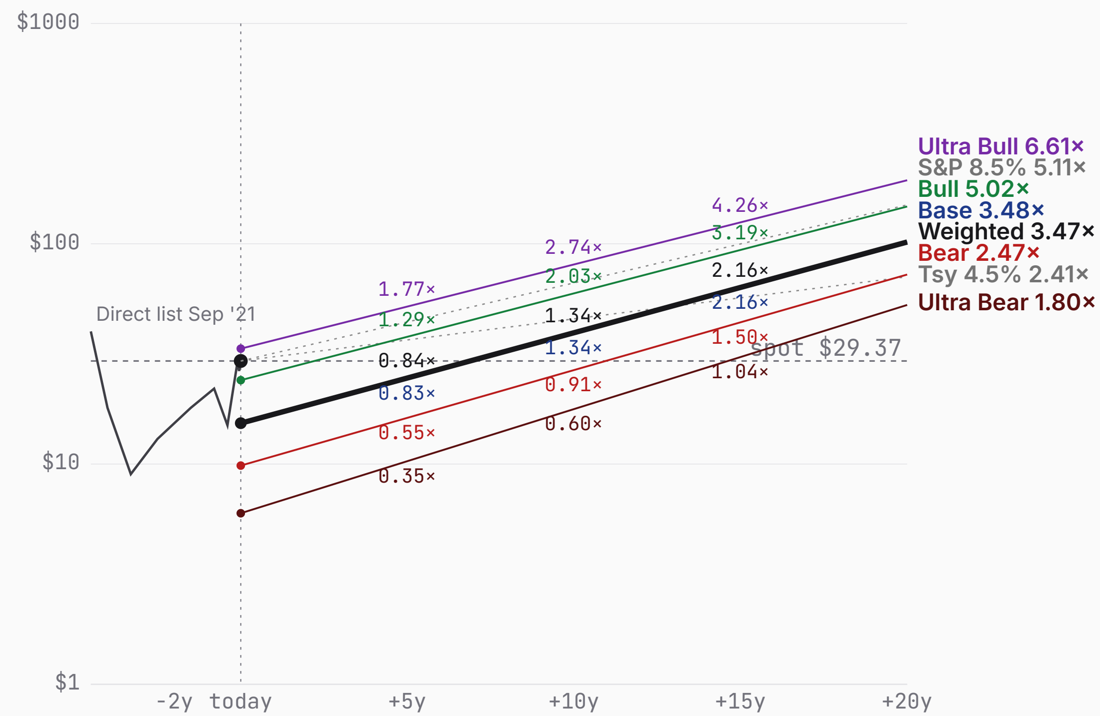
THE CENTRAL QUESTION

Does store-led scale finally drive Warby Parker's EBITDA margin from ~12% toward high-teens/20% with durable GAAP profit and FCF — or stay a thin-margin, decelerating brand priced for an inflection?

Warby Parker trades at ~$3.25B (~$26.46, up ~13-16% YTD) — ~3x sales on $872M revenue growing ~13%, net cash, but only a ~12% adj-EBITDA margin and razor-thin GAAP profit. The bull is store-led operating leverage finally lifting EBITDA toward high-teens/20% as the unit base scales from 323 toward ~900-1,000+, plus a Google AI-smart-glasses call-option outside guidance; the bear is decelerating customer growth (+4.8%), gross-margin compression, and the inflection never arriving. At ~3x sales the price already embeds the ramp, so the weighted finding is -42.1% and the modal case lands -43%.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



PROBABILITY-WEIGHTED EXPECTED VALUE

$15.33 expected fair value today

-47.8% vs spot $29.37

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$24.58	$39.45	$63.37	$101.86
0.84× spot	1.34× spot	2.16× spot	3.47× spot

WEIGHTING RATIONALE

Ultra Bear 15% Growth stalls; margin never inflects; ~$5.98 (-77%).
Bear 27% Stores grow but leverage crawls; ~$9.84 (-63%).
Base 33% Runway continues; margin grinds to ~11%; ~$15.20 (-43%).
Bull 17% Leverage inflects + glasses optionality; ~$24.03 (-9%).
Ultra Bull 8% Full inflection + glasses second act; ~$33.41 (+26%).

Bull (17%) + Ultra Bull (8%) together contribute $6.76 — 44% of the $15.33 expected value despite 25% combined probability. Today's spot ($29.37) sits 92% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$5.98	$9.84	$15.20	$24.03	$33.41
-79.6% vs spot	-66.5% vs spot	-48.2% vs spot	-18.2% vs spot	+13.8% vs spot
CAGR +4.0% WACC 11.5%	CAGR +7.2% WACC 10.5%	CAGR +9.8% WACC 10.0%	CAGR +12.0% WACC 9.5%	CAGR +14.2% WACC 9.2%
CAGR +4.0% Prob 15%	CAGR +7.2% Prob 27%	CAGR +9.8% Prob 33%	CAGR +12.0% Prob 17%	CAGR +14.2% Prob 8%
Growth stalls; margin never inflects.	Stores grow; leverage comes slowly.	Runway continues; margin grinds to ~11%.	Leverage inflects to ~15%; glasses optionality.	Full inflection + glasses second act.

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Warby Parker scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 27% Base 33% Bull 17% Ultra Bull 8% · Weighted expected $15.33 (-47.8% vs spot)

ULTRA BEAR $5.98

-79.6% vs spot

Probability 15%

Growth stalls; margin never inflects.

WHY 15%

The genuine bear: active-customer growth is already only +4.8% TTM, gross margin slipped to 54.0% from 56.3%, and GAAP profit is a few million dollars that easily flips negative. 15% on the inflection never showing up.

WHAT HAPPENS

Customer growth keeps decelerating below ~+5%, the model leans on price not new buyers, gross margin compresses further from 54%, and the operating leverage never arrives: EBITDA stays mired near ~12% while GAAP stays at a small loss/breakeven and FCF margin crawls 2-5%. SBC dilution offsets what little cash is generated.

A decelerating, thin-margin brand that never inflects earns ~2x sales and a low-double-digit EBITDA multiple -> DCF ~$5.98 (-77%). Net cash sets a floor, but at ~3x sales today the downside if the inflection fails is severe.

BEAR $9.84

-66.5% vs spot

Probability 27%

Stores grow; leverage comes slowly.

WHY 27%

Units and revenue grow but the capital and SBC intensity keep margins suppressed — the plausible 'grows but doesn't lever' path given the customer-growth deceleration. 27% weight.

WHAT HAPPENS

Stores keep opening (~50/yr) and revenue compounds ~7% toward ~$1.2B, but operating leverage is grudging: EBITDA inches up while gross-margin pressure and SBC keep GAAP profit thin and FCF margin near 7%. The unit runway is real; the margin step-change is not.

DCF ~$9.84 (-63%) — a single-digit grower whose EBITDA only crawls toward the mid-teens is worth well below ~3x sales; the market's premium assumes a faster inflection than this path delivers.

BASE $15.20

-48.2% vs spot

Probability 33%

Runway continues; margin grinds to ~11%.

WHY 33%

Requires the store-led leverage to show up and FCF to scale as cohorts mature — consistent with the FY26 ~12% EBITDA guide and the new-store economics, but not a step-change. 33% as the central outcome, still -43% from a price that pre-pays the ramp.

WHAT HAPPENS

The modal path: the store base compounds low-double-digit toward ~900-1,000 units, holistic vision (eye exams, insurance/HSA, contacts) lifts revenue/customer, and operating margin grinds from ~0% toward ~11% with FCF margin reaching ~10% as new-store cohorts mature. Revenue compounds ~10% to ~$1.4B.

DCF ~$15.20 (-43%) — a genuine unit runway and a real margin grind, but at ~3x sales today the price already embeds that ramp; the modal case at a ~16x EBITDA multiple lands well below spot. The market is paying for the inflection in advance.

BULL $24.03

-18.2% vs spot

Probability 17%

Leverage inflects to ~15%; glasses optionality.

WHY 17%

The Wingstop-style 'leverage finally shows up' path plus a maturing store base make a real EBITDA inflection credible; the glasses add free optionality. ~17% weight on the inflection landing.

WHAT HAPPENS

Store-led operating leverage finally lands: a maturing unit base drives EBITDA toward the high-teens, gross margin stabilizes, GAAP profit turns durable and FCF margin reaches ~13% — and the Google Android XR / Gemini AI-smart-glasses program (a free, $150M-committed call-option outside guidance) starts to read as a credible Meta-Ray-Ban competitor. Revenue compounds ~12% to ~$1.5B.

DCF ~$24.03 (-9%) — if the margin inflection arrives, the de-rate-to-fair math nearly closes the gap to spot; this is the core of the bull, and it still does not clear today's price on the fundamentals alone.

ULTRA BULL $33.41

+13.8% vs spot

Probability 8%

Full inflection + glasses second act.

WHY 8%

Margins AND units AND revenue/customer AND the glasses optionality all land — the long-duration tail where the price's embedded inflection actually arrives and then some. ~8%.

WHAT HAPPENS

Everything works: the unit machine marches toward multi-thousand US TAM, operating margin reaches ~18% with FCF margin ~16%, holistic vision compounds revenue/customer, and the Google AI-glasses partnership becomes a real second revenue stream rather than a call-option. Revenue compounds ~14% to ~$1.6B at a premium-brand multiple.

DCF ~$33.41 (+26%) — the only scenario that clears spot: a true margin inflection plus the glasses second act re-rate the brand. ~8% probability, the asymmetric upside the rich entry is buying.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

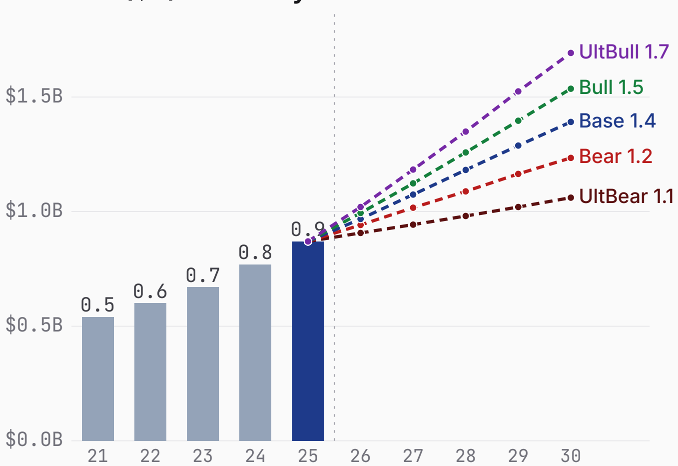
2 July 2026 · the snapshot

Warby Parker business snapshot

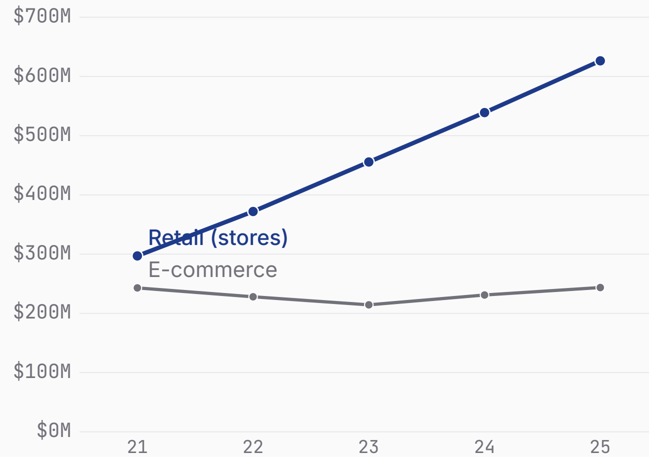
Bear $9.84 Base $15.20 Bull $24.03

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results + FY26 guidance

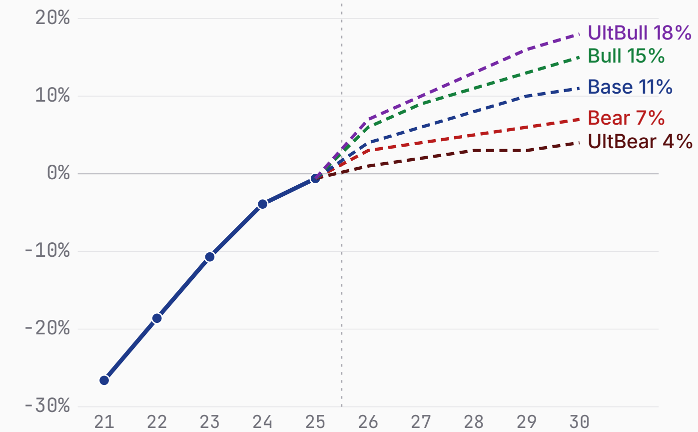
Revenue ($B) — history + scenarios to FY30



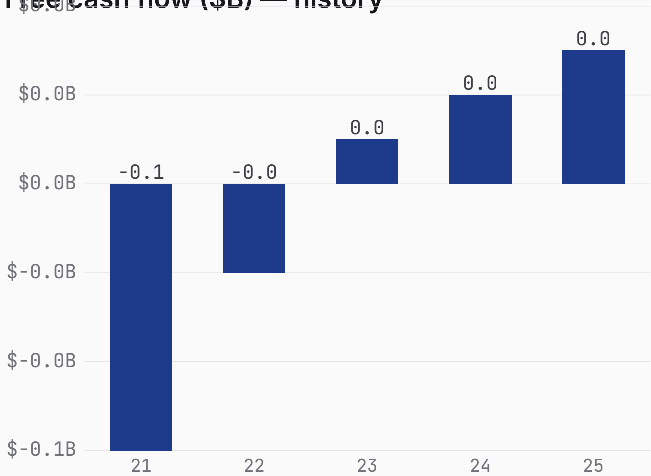
Revenue by segment ($M)



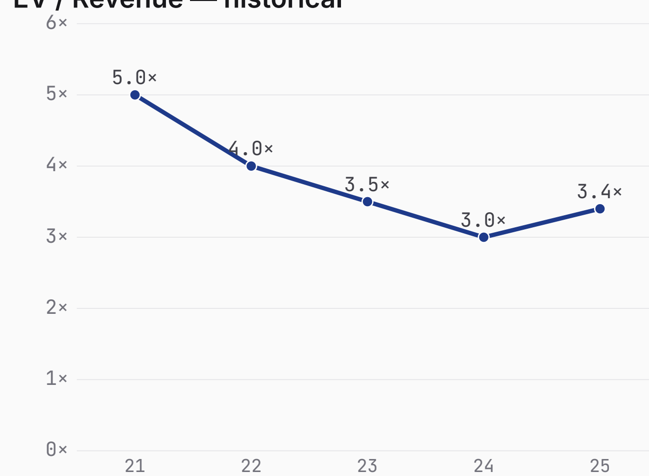
Op margin — history + scenarios



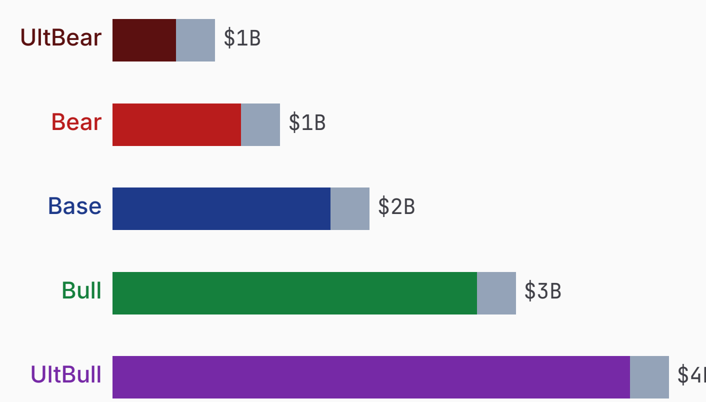
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: SEC XBRL company facts (CIK 1504776), Warby Parker Q1 FY2026 release (revenue $242.4M/+8.3%, 2.69M active customers/+4.8% TTM, revenue/customer $331, gross margin 54.0%, adj EBITDA $29.6M/12.2%), FY26 guide ($959-976M revenue, ~12.2% adj EBITDA), 323 stores end-2025 (+47), Google Android XR / Gemini glasses partnership ($150M, not in guidance). FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/EBITDA vs EssilorLuxottica, National Vision.

Warby Parker 7 Powers · the moat, scored

Bear $9.84 Base $15.20 Bull $24.03

Arena. Eyewear / premium consumer DTC — Warby Parker (vertically-integrated DTC brand, ~323 stores + e-commerce, ~4% US eyewear share) vs EssilorLuxottica (Ray-Ban/LensCrafters/Sunglass Hut), National Vision, Zenni/EyeBuyDirect, and the optical-retail incumbents; auditing a brand Power + a nascent vertical-integration process edge against a dominant incumbent and a thin margin.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies
Vertical integration (in-house design, lens labs, optometry) gives a nascent cost/process edge, but tiny vs EssilorLuxottica's global manufacturing/retail scale.

Network Economies
None — eyewear isn't a network; the app and Virtual Try-On are channels, not network effects.

Counter-Positioning
Was the DTC disruptor that undercut the EssilorLuxottica markup; now part-incumbent with its own stores, so the counter-position is narrowing.

Switching Costs
Weak — eyewear is a periodic, promiscuous purchase; holistic vision (exams/insurance) builds modest stickiness but no lock-in.

Branding · thesis leans here
The dominant Power: a genuine premium DTC brand (design, price-transparency, Buy-a-Pair-Give-a-Pair) with pricing power — but a brand alone doesn't convert to EBITDA while margins are thin.

Cornered Resource
In-house design/lens-lab capability + store locations; valuable but not truly cornered.

Process Power
Emerging: vertically-integrated retail + holistic-vision playbook and new-store economics; unproven at the scale the inflection needs — the bull's swing factor.

PEER SET

EssilorLuxottica 7% gr · 18% mgn · ~28x P/E
The dominant incumbent — global lens manufacturing + Ray-Ban/LensCrafters/Sunglass Hut retail + the Meta smart-glasses partner Warby's Google glasses must beat.

National Vision (EYE) 5% gr · 4% mgn · ~25x EV/EBITDA
Value optical-retail operator (America's Best/Eyeglass World); the mass-market, capital-intensive store comp.

Zenni / EyeBuyDirect · private
Ultra-low-price online eyewear; the price-led share threat as Warby leans more on price than new customers.

Meta x EssilorLuxottica (Ray-Ban) · part of EL
The AI-smart-glasses leader already in market — the competitor Warby's Google/Gemini program is chasing, not leading.

THREAT VECTORS · FALSIFIERS

Branding · Zenni/EyeBuyDirect + value optical (price-led share)
falsifier: Active-customer growth turns price-led and decelerates below ~+4% while gross margin compresses below ~53%.

Process Power · Capital intensity + SBC (the margin inflection)
falsifier: Adj-EBITDA margin stays stuck near ~12% for 2+ years while FCF margin stalls near 5% — leverage never shows up.

Counter-Positioning · Meta-EssilorLuxottica AI glasses
falsifier: The Google/Gemini glasses slip or launch behind Ray-Ban Meta, so the optionality the bull/ultra-bull rely on fails to read as a real competitor.

COMPETITIVE READ

Warby Parker's brand Power is genuine — a premium, vertically-integrated DTC eyewear name with real pricing power and a nascent process edge from in-house design/lens labs/optometry — but a brand does not convert to free cash flow while the adjusted-EBITDA margin sits near ~12% and GAAP profit flips between a few million dollars and breakeven. The Audit: branding is durable (medium), process_power (store-led vertical integration) is the emerging swing factor, and the live threats are capital/SBC intensity capping the margin inflection plus price-led share loss to Zenni/value optical; the Google AI-glasses program is upside optionality, not the base, and it chases a Meta-EssilorLuxottica leader. At ~3x sales the price already embeds the margin ramp and some of the glasses optionality, so the weighted DCF is -42.1% and the modal case lands -43% — only the ultra-bull's full inflection-plus-second-act clears spot.

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2 July 2026 · the quantitative

Warby Parker show your work

Bear $9.84 Base $15.20 Bull $24.03 · Weighted $15.33 (-47.8%)

ULTRA BEAR $5.98

ASSUMPTIONS

5y revenue CAGR (%)	+4.0
Year-5 op margin (%)	4.0
WACC (%)	11.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	+4.0
Starting revenue ($B)	0.87
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.91	+1%	+0.02	+0.02
FY27	0.94	+2%	+0.03	+0.02
FY28	0.98	+3%	+0.04	+0.03
FY29	1.02	+3%	+0.04	+0.03
FY30	1.06	+4%	+0.05	+0.03

Σ PV explicit FCF	+0.12
+ PV terminal (g 2.5%)	0.35

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.47B
+ Cash & investments	$0.29B
= Equity value	$0.76B
FY30 shares (M)	127
= Expected per share	**$5.98**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$10.31	$17.76	$30.61	$52.75
0.35×	0.60×	1.04×	1.80×

BEAR $9.84

ASSUMPTIONS

5y revenue CAGR (%)	+7.2
Year-5 op margin (%)	7.0
WACC (%)	10.5
Terminal growth (%)	3.0
5y revenue CAGR (%)	+7.2
Starting revenue ($B)	0.87
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.94	+3%	+0.04	+0.03
FY27	1.02	+4%	+0.05	+0.04
FY28	1.09	+5%	+0.07	+0.05
FY29	1.16	+6%	+0.08	+0.05
FY30	1.23	+7%	+0.09	+0.05

Σ PV explicit FCF	+0.23
+ PV terminal (g 3.0%)	0.72

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.95B
+ Cash & investments	$0.29B
= Equity value	$1.24B
FY30 shares (M)	126
= Expected per share	**$9.84**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$16.21	$26.71	$44.00	$72.48
0.55×	0.91×	1.50×	2.47×

BASE $15.20

ASSUMPTIONS

5y revenue CAGR (%)	+9.8
Year-5 op margin (%)	11.0
WACC (%)	10.0
Terminal growth (%)	3.0
5y revenue CAGR (%)	+9.8
Starting revenue ($B)	0.87
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.97	+4%	+0.05	+0.04
FY27	1.07	+6%	+0.07	+0.06
FY28	1.18	+8%	+0.10	+0.07
FY29	1.29	+10%	+0.12	+0.08
FY30	1.39	+11%	+0.14	+0.09

Σ PV explicit FCF	+0.34
+ PV terminal (g 3.0%)	1.27

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.61B
+ Cash & investments	$0.29B
= Equity value	$1.90B
FY30 shares (M)	125
= Expected per share	**$15.20**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$24.48	$39.42	$63.49	$102.26
0.83×	1.34×	2.16×	3.48×

BULL $24.03

ASSUMPTIONS

5y revenue CAGR (%)	+12.0
Year-5 op margin (%)	15.0
WACC (%)	9.5
Terminal growth (%)	3.5
5y revenue CAGR (%)	+12.0
Starting revenue ($B)	0.87
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	0.99	+6%	+0.07	+0.06
FY27	1.12	+9%	+0.10	+0.08
FY28	1.26	+11%	+0.14	+0.10
FY29	1.40	+13%	+0.17	+0.12
FY30	1.54	+15%	+0.20	+0.13

Σ PV explicit FCF	+0.50
+ PV terminal (g 3.5%)	2.19

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.69B
+ Cash & investments	$0.29B
= Equity value	$2.98B
FY30 shares (M)	124
= Expected per share	**$24.03**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$37.83	$59.55	$93.75	$147.58
1.29×	2.03×	3.19×	5.02×

ULTRA BULL $33.41

ASSUMPTIONS

5y revenue CAGR (%)	+14.2
Year-5 op margin (%)	18.0
WACC (%)	9.2
Terminal growth (%)	3.5
5y revenue CAGR (%)	+14.2
Starting revenue ($B)	0.87
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.02	+7%	+0.08	+0.07
FY27	1.18	+10%	+0.13	+0.11
FY28	1.35	+13%	+0.17	+0.13
FY29	1.52	+16%	+0.23	+0.16
FY30	1.69	+18%	+0.27	+0.17

Σ PV explicit FCF	+0.65
+ PV terminal (g 3.5%)	3.17

EQUITY BUILD · $B & PER SHARE

Operating EV	$3.82B
+ Cash & investments	$0.29B
= Equity value	$4.11B
FY30 shares (M)	123
= Expected per share	**$33.41**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$51.88	$80.56	$125.09	$194.24
1.77×	2.74×	4.26×	6.61×

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2 July 2026 · the underwriting lens (POCD)

Warby Parker People · Opportunity · Context · Deal

Bear $9.84 Base $15.20 Bull $24.03

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Neil Blumenthal & Dave Gilboa (co-CEOs) · founder-led — 15 yrs in seat

18% insider ownership

MEDIUM key-person risk

Capital allocation (realized)
Co-founders Neil Blumenthal and Dave Gilboa have run Warby Parker as co-CEOs since 2010 (and are co-chairs of the board). FY2025 was the first full GAAP-profitable year (+$1.6M), on ~$872M revenue (+13%) and a net-cash balance sheet (~$286M, no debt). Capital return just began — a first-ever $100M buyback (Feb 2026), no dividend. A new Google/Samsung smart-glasses partnership brings up to $75M of product-development funding plus an optional up-to-$75M equity investment.

Incentive alignment
The co-CEOs are modestly paid (~$1.5M each, FY2024) with long-term incentives tied to multi-year stock-price hurdles. Their alignment is the founding stake; insider trading is programmatic 10b5-1 selling, no open-market buying. A seasoned external CFO (ex-Macy's) was added in early 2026, deepening the bench.

GOVERNANCE FLAGS

- multi-class super-voting: Class B = 10 votes per share (founders); the co-founders together hold ~48% of the vote on a smaller economic stake — significant but below a majority
- co-CEO structure, and the co-CEOs are also co-chairs of the board (combined Chair/CEO) — mitigated by a lead independent director (Ronald Williams)
- a fixed dual-class sunset (Oct 2031), plus transfer and death/disability triggers — a real positive vs. no-sunset peers
- classified / staggered board (three classes) — an entrenchment feature
- 7 of 9 directors independent; below the 50% controlled-company threshold (does not appear to rely on controlled-company exemptions)

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the -42.1% finding) + position sizing.

PEOPLE READ

Dual-class super-voting with the co-founders also serving as co-chairs caps it below the clean tier, but it is a solid 3: the founders hold ~48% of the vote (below a controlling majority, so not a controlled company), there is a fixed 2031 sunset (which most dual-class names lack), a 7-of-9 independent board with a lead independent director, and the company just turned profitable with its first buyback. Key-person risk is moderate — dependence on the two-founder partnership, but split across two people with a professionalized bench.

Warby Parker supporting analysis · disclaimers · glossary

Bear $9.84 Base $15.20 Bull $24.03

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **At ~3x sales the price already embeds the margin ramp.**
The weighted DCF is -42.1% and the modal base is -43% — only the ultra-bull (+26%) clears spot; the inflection is pre-paid, not a free upside.

2 **The Google glasses are a genuine free call-option.**
$150M committed, Android XR + Gemini, NOT in 2026 guidance — credible optionality, but it lives only in the bull/ultra-bull.

3 **Stores are the engine and the economics work.**
323 stores end-2025 (+47), guiding ~50 more in 2026 at profitable economics; the ~900-1,000+ unit runway must convert to EBITDA.

4 **Gross-margin compression is the watch-item.**
Gross margin fell to 54.0% from 56.3% and GAAP profit is a few million dollars; thin profitability plus SBC dilution is what 'never inflects' looks like.

5 **Net cash, p_fail ~0.**
$286M cash, no debt — no solvency risk; the downside here is multiple/margin (the inflection failing), not survival.

FALSIFICATION TRIGGERS

Bull validation
adj-EBITDA margin expands above ~14-15% · active-customer growth re-accelerates above +5-6% · gross margin recovers toward 56% · Google AI-glasses ship as a real Meta-Ray-Ban competitor

Bear validation
customer growth decelerates below ~+4% / turns price-led · gross margin compresses below ~53% · GAAP turns back to a loss and FCF margin stalls near 5% · glasses slip

Reframe needed
if EBITDA margin stays stuck near ~12% for 2+ years while customer growth fades, the inflection thesis breaks — re-rate the terminal toward a thin-margin specialty retailer, not a premium-brand compounder

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Active customers — Trailing-12-month buyers (2.69M, +4.8% TTM); the demand gauge — decelerating growth, increasingly price- not customer-led, is the central bear signal.

Revenue per customer — TTM revenue / active customer (~$331, +6.9%); rising as holistic vision (eye exams, insurance/HSA, contacts) deepens the wallet — the offset to slowing customer counts.

Adjusted EBITDA margin — Non-GAAP operating profitability (~12.2%); the swing-factor metric — whether store-led scale lifts it toward high-teens/20% is the whole question.

Android XR / Gemini glasses — Google-partnered AI smart glasses ($150M committed, launching 2026, not in guidance) — a call-option to compete with Meta-Ray-Ban, upside not base case.

FCF margin — Free cash flow / revenue (~3% FY25); the mature-DCF lever — whether the unit runway and holistic-vision upsell convert thin EBITDA into durable free cash flow.